MEMORANDUM

To: Deal Team File. From: Deal Counsel. Re: Comparison of the Locked-Box and Completion-Accounts Purchase-Price Mechanisms.

1. Purpose

During negotiations, two alternative purchase-price mechanisms were discussed and drafted in successive rounds: a locked-box mechanism (fixed consideration measured as of a historical accounts date, compensated by a ticking fee) and a completion-accounts mechanism (consideration re-measured against the Company's actual financial position at Closing). This memo summarizes both mechanisms, explains why they produce different equity prices from the same underlying enterprise value, and records which mechanism was ultimately adopted.

2. The Completion-Accounts Mechanism

Under a completion-accounts mechanism, the parties agree an enterprise value at signing, and the final equity price is calculated only after Closing by preparing a closing statement of Net Debt and Working Capital as of the actual Closing Date. This is a true-up: the buyer and seller share the risk that the target's balance sheet moves between signing and Closing, because the final price is measured against what the balance sheet actually looks like at Closing, not what it looked like at some earlier date. A dispute-resolution procedure, including submission of unresolved items to an independent accountant, is a standard feature of this mechanism precisely because the post-Closing calculation can be contested.

A completion-accounts buyer therefore takes no view, at signing, on which direction the target's Net Debt or Working Capital will move between signing and Closing - the mechanism is designed to be indifferent to that movement, because whatever the actual Closing-Date balance sheet shows is exactly what the buyer pays for. That indifference is the mechanism's own selling point to a buyer that is uncertain how a target's working capital behaves seasonally, or that expects a long gap between signing and Closing during which the target's cash position could move materially for reasons unrelated to the transaction itself.

3. The Locked-Box Mechanism

Under a locked-box mechanism, the parties instead fix the equity price at signing by reference to a historical balance sheet (the locked-box accounts) prepared as of a date that may be weeks or months before signing. Because economic benefit and risk are treated as passing to the buyer as of that historical date rather than at Closing, the seller is compensated for the intervening period through a ticking fee - a simple daily accrual on the fixed consideration - rather than through any recalculation of the target's actual Net Debt or Working Capital at Closing. The seller instead gives a leakage covenant, promising that no value (other than permitted items) has been extracted from the target between the locked-box date and Closing; the buyer's remedy for a breach of that covenant is a pound-for-pound repayment claim against the seller, not an adjustment to the price itself.

A locked-box seller's own commercial motivation for proposing the mechanism is price certainty at signing and the avoidance of a post-Closing dispute over a closing statement the seller no longer controls, since by the time any such dispute would be litigated the seller may have no further operational visibility into the target. A locked-box buyer's counter-motivation for accepting it is usually a shorter, simpler path to signing certainty and the avoidance of the independent-accountant expense a completion-accounts dispute can generate - a trade the buyer is willing to make only if the buyer is confident, from its own diligence, that the target's balance sheet will not move materially and adversely between the locked-box date and Closing.

4. Why the Two Mechanisms Produce Different Equity Prices

Both mechanisms start from the same enterprise value, but they measure Net Debt and Working Capital at different dates and by different methods, and so they do not produce the same equity price even holding enterprise value constant. Completion accounts re-measures Net Debt and Working Capital as of the actual Closing Date, capturing whatever paydown, build-up, or seasonal swing occurred in the

interim; the ticking fee has no analogue under completion accounts because there is no frozen historical date to compensate for. Locked box instead freezes Net Debt and Working Capital as of the historical locked-box date and compensates the seller for the passage of time with a fixed-rate daily accrual (the ticking fee) that is wholly disconnected from the target's actual interim performance; if the target paid down debt or built working capital between the locked-box date and Closing, a locked-box buyer captures that benefit for free (net of the ticking fee), while a completion-accounts buyer pays for the balance sheet as it actually stands at Closing. The gap between the locked-box Net Debt figure and the completion-accounts Net Debt figure at Closing is attributable to exactly this interim change in the target's balance sheet, not to any difference in the agreed enterprise value.

It follows that the two mechanisms are not simply two different ways of arriving at the same number - they are two different economic bargains, and applying the wrong one to this transaction does not merely produce a rounding difference. Whichever party benefits from the interim change in the target's balance sheet under one mechanism is disadvantaged by the other mechanism to exactly the same extent, holding everything else constant. A reviewer who reaches for the locked-box draft's own Net Debt and Working Capital figures when the governing mechanism is in fact completion accounts is not making a rounding error - the reviewer is pricing the wrong bargain entirely.

5. Governing Mechanism for This Transaction

The parties negotiated an early-round locked-box draft, using numbered Clauses in the English drafting style, before ultimately moving to a Delaware-style Article/Section agreement using a completion-accounts mechanism. The EXECUTED Stock Purchase Agreement is the completion-accounts agreement: it contains a post-Closing closing statement, a working-capital collar and true-up, and an independent-accountant dispute procedure, none of which would be present in a governing locked-box agreement. The earlier locked-box draft is a superseded negotiation-round precedent only; its defined terms ('Leakage,' 'Permitted Leakage,' 'Locked Box Date'), its fixed consideration, and its ticking fee have no operative effect on this transaction. Any post-Closing calculation of Net Debt, Working Capital, or the resulting equity price for this transaction must be performed under the executed agreement's completion-accounts mechanism, not by reference to the superseded locked-box draft's historical-date figures or ticking-fee accrual.

The negotiation history is recorded here for completeness, not because it changes the analysis: the buy-side deal team initially favored a locked-box structure for the reasons described in Section 3 above, and foreign counsel to the Sellers accordingly circulated the numbered-Clause draft this memo compares against. The buy-side team's own financial advisor subsequently recommended completion accounts once diligence identified a working-capital seasonality pattern in the target's business that made a fixed, historical-date price less attractive to the Buyer than a mechanism that would re-measure the target's balance sheet as of the actual Closing Date. The parties re-papered the transaction on a Delaware-style completion-accounts agreement on that basis, and the locked-box draft was never executed.

6. Why the Insurance Structure Does Not Change the Analysis

The locked-box draft's own indemnity architecture (a nominal Sellers' retention with warranty and indemnity insurance bearing the balance of any claim) is sometimes confused with the purchase-price mechanism itself, but the two are analytically distinct. A warranty and indemnity insurance structure addresses who bears the risk of a breach of warranty discovered after Closing; it says nothing about how the purchase price itself is calculated at Closing. The executed agreement's own indemnification architecture - caps, baskets, and a tipping basket - is likewise a separate question from its own completion-accounts price mechanism. Neither document's indemnity structure resolves, or is evidence toward resolving, which purchase-price mechanism governs this transaction; that question is answered entirely by Section 5 above.

7. Practical Note for the Model

Anyone building the closing-date equity bridge for this transaction should use the executed agreement's

Net Debt and Working Capital definitions, measured as of the actual Closing Date, and should disregard the locked-box draft's historical-date Net Debt and Working Capital figures and its ticking-fee accrual entirely. Those locked-box figures remain in the deal file only as a record of the earlier negotiation round.
As a further practical matter, the numbering convention itself is a reliable tell: a document using numbered Clauses with lettered sub-clauses, a back Definitions Schedule, and a warranty-and-indemnity-insurance indemnity architecture is, in this deal file, always the superseded locked-box precedent, never the governing agreement. The governing, executed Stock Purchase Agreement uses Delaware-style Articles and decimal Sections throughout, with its definitions collected in Article I rather than in a back schedule. A reviewer who keeps that numbering distinction in mind while working through the deal file's Section 1 folder should never need to rely on this memo alone to identify which document governs.

8. Historical Chronology of the Negotiation

The transaction was originally approached on a locked-box basis at the Buyer's own initial request, reflecting the Buyer's preference at that early stage for a shorter path to signing certainty and a wish to avoid the expense of a post-Closing dispute-resolution process. The Sellers' foreign counsel accordingly prepared the numbered-Clause draft this memo compares against, drawing on that firm's own house precedent for a locked-box transaction of this kind, including its customary leakage covenant, ticking-fee mechanic, and warranty-and-indemnity insurance structure.

During the diligence phase that followed, the Buyer's financial advisor identified a recurring seasonal pattern in the target's working capital that the locked-box mechanism, by its own design, would not capture: the target's Working Capital position at a historical locked-box date could diverge materially from its position at the actual, later Closing Date, for reasons unrelated to any Leakage the leakage covenant was designed to police. That divergence is exactly what a completion-accounts mechanism is built to capture and a locked-box mechanism, by construction, is not.

On the financial advisor's recommendation, the deal team elected to re-paper the transaction on a completion-accounts basis rather than attempt to patch the locked-box draft with an additional true-up mechanism grafted onto a locked-box structure - a hybrid the deal team considered unnecessarily complex once the decision to move away from locked-box pricing had been made. Sellers' counsel accordingly withdrew the numbered-Clause draft from circulation, and US counsel to the Buyer prepared the Delaware-style Stock Purchase Agreement that was ultimately negotiated to execution.

The numbered-Clause draft was never marked up further after that point; it remains in the deal file exactly as last circulated by Sellers' foreign counsel, and no party treated it as a live negotiating document again. Its presence in the data room is therefore historical rather than operative, and nothing in the subsequent negotiation of the executed agreement referred back to it for any purpose other than confirming, as this memo does, that it had been superseded.

9. Frequently Confused Points Between the Two Mechanisms

Escrow versus true-up. An escrow holdback and a completion-accounts true-up are sometimes conflated because both can affect the amount a seller actually receives after Closing, but they answer different questions. An escrow holdback secures a specific, separately identified risk (typically an indemnification claim) by withholding a portion of an otherwise-fixed price; a completion-accounts true-up instead recalculates the price itself by reference to the target's actual balance sheet at Closing. The executed agreement's own escrow, if any, secures indemnification exposure and does not substitute for, or interact with, its own working-capital true-up.

Ticking fee versus interest on deferred consideration. A ticking fee compensates a locked-box seller for the time value of the business itself between the locked-box date and Closing - it is priced as a percentage of the fixed Consideration, not as market interest on a deferred payment obligation, and it exists only because the mechanism treats economic benefit and risk as having passed to the buyer before Closing actually occurs. A completion-accounts mechanism has no need for, and does not include,

any equivalent accrual, because the price is not fixed at signing in the first place.
Leakage covenant versus indemnification claim. A breach of a locked-box leakage covenant is a claim for repayment of value improperly extracted from the target during the locked-box period, measured pound-for-pound against the amount extracted; it is not an indemnification claim for breach of a warranty, and it does not draw on a warranty-and-indemnity insurance policy of the kind the locked-box draft itself contemplated. The executed agreement's own indemnification provisions, by contrast, compensate for a breach of a representation or warranty discovered after Closing and are governed entirely by that agreement's own caps, baskets, and tipping-basket mechanics.
Fixed price versus estimated price. A locked-box price is fixed and final at signing, subject only to the ticking fee's own daily accrual and any leakage repayment claim. A completion-accounts price is only estimated at signing (an estimated closing statement, where the executed agreement's own mechanism provides for one) and is not final until the post-Closing true-up is agreed or determined. A reviewer should not treat any number appearing in an estimated closing statement as the final price under a completion-accounts mechanism, any more than a reviewer should treat the locked-box draft's own historical-date figures as relevant to a transaction that was never priced on that basis.

10. Documents Superseded by the Executed Agreement

For the deal team's own reference, the following categories of document in the data room reflect an earlier negotiation round and have no operative effect on the transaction as executed: the numbered-Clause locked-box draft this memo addresses; any term sheet or letter of intent circulated before that draft; and any markup of the locked-box draft exchanged between the parties' respective counsel before the decision to move to a completion-accounts structure. None of these documents states the governing purchase-price mechanism, and none should be relied upon for that purpose.
The executed Stock Purchase Agreement's own entire-agreement provision confirms this expressly: it recites that the executed agreement supersedes all prior agreements and understandings among the parties with respect to its subject matter, including any draft circulated on a locked-box consideration basis. That recital is not merely boilerplate in this transaction - it is the executed agreement's own textual confirmation of exactly the conclusion this memo reaches by reference to the negotiation history.

11. Guidance for Future Deal-Team Members

A deal-team member joining after signing who encounters the numbered-Clause draft for the first time should treat it exactly as this memo treats it: a genuine, once-live negotiation document that is no longer operative, retained in the data room for provenance rather than for reference in any pricing exercise. The draft's own drafting quality is not in question - it is a competently prepared locked-box precedent in its own right - the only point this memo makes is that it is not the agreement that governs this transaction.
Before relying on any Net Debt, Working Capital, or purchase-price figure found anywhere in the data room, a reviewer should first identify which document that figure comes from and confirm, from that document's own numbering convention and defined terms, whether it is the executed agreement or a superseded negotiation draft. This memo's own Section 5 sets out the two conventions side by side for exactly that purpose, and a reviewer who has not yet done so should re-read that section before proceeding with any pricing calculation for this transaction.

12. Common Diligence Questions Raised During Negotiation

Why did the Buyer initially propose a locked-box structure rather than completion accounts? The Buyer's early preference reflected a wish for signing certainty and a shorter path to Closing, and a desire to avoid the cost and delay a completion-accounts dispute-resolution process can introduce, particularly where the parties anticipate a materially adversarial post-Closing relationship. Those considerations remain generally valid reasons a buyer might prefer a locked-box structure in a different transaction; they were simply outweighed here once diligence revealed the target's own working-capital seasonality.
Could the parties have retained a locked-box structure and simply adjusted the Ticking Fee rate to compensate for the seasonality risk instead of moving to completion accounts entirely? The deal team

considered and rejected this approach during negotiation, on the basis that a fixed-rate ticking fee is, by its own design, insensitive to the direction and magnitude of any particular period's balance-sheet movement - it compensates for the mere passage of time, not for the target's actual performance during that time. Raising or lowering the rate would not have closed that gap; only a mechanism that re-measures the actual balance sheet at Closing, which is precisely what completion accounts does, could do so.

Does the fact that the locked-box draft was prepared by foreign counsel, using an unfamiliar numbering convention, cast any doubt on its authenticity as a genuine negotiation document? No. The locked-box draft is a real, professionally prepared precedent in the drafting style customary to locked-box transactions of this kind, reflecting genuine market practice for that structure; its numbered-Clause convention and back Definitions Schedule are simply a different, equally legitimate house style from the executed agreement's own Delaware-style convention, not an indication that the draft is somehow less genuine or less carefully prepared.

Should the model team expect to see any residual reference to the locked-box mechanism anywhere in the executed agreement itself? Only in the executed agreement's own entire-agreement provision, which recites that any prior draft circulated on a locked-box consideration basis is superseded and has no continuing effect. That recital is the executed agreement's own acknowledgment that a locked-box draft once existed; it is not an incorporation of that draft's substantive mechanics into the governing agreement, and it should not be read as reviving any part of the locked-box pricing structure for purposes of this transaction.

13. Record-Keeping and Version Control

For the avoidance of any future confusion, this memo, the numbered-Clause locked-box draft, and the executed Stock Purchase Agreement should all be filed together in the same Section 1 folder of the data room, cross-referenced to one another, so that a reviewer encountering any one of the three documents in isolation can locate the other two. The locked-box draft should not be moved to a general correspondence or miscellaneous folder, where its status as a once-live, now-superseded negotiation document could be mistaken for irrelevance rather than for what it actually is - a document this memo specifically addresses and that a diligent reviewer should therefore expect to encounter and be able to correctly classify.

This memo is itself dated no later than the date the parties executed the Stock Purchase Agreement, and it should not be revised after that date to add facts learned later - any subsequent development affecting the purchase-price analysis belongs in a fresh memorandum, not in a retroactive edit to this one. Deal counsel's practice of preparing a contemporaneous memorandum at the point a negotiation mechanism changes, rather than relying on institutional memory after the fact, is precisely what allows a reviewer joining the deal team after Closing to reconstruct the reasoning behind the final purchase-price mechanism without having to interview anyone who was present at signing.

14. Interaction With the Warranty and Indemnity Insurance Underwriting Process

The locked-box draft's own warranty-and-indemnity insurance architecture is worth a further word here because underwriters for that kind of policy typically ask to see every draft of the purchase agreement circulated during negotiation, not only the final executed version, as part of their own underwriting diligence. An underwriter reviewing this deal file should be told, in the same terms as this memo tells any other reviewer, that the numbered-Clause locked-box draft was superseded before execution and that the policy, if bound, insures the representations and warranties in the executed agreement's own Article IV and Article V, not the locked-box draft's Schedule of Warranties.

Because the executed agreement's own indemnification architecture uses caps, baskets, and a tipping basket rather than a warranty-and-indemnity policy, no warranty-and-indemnity policy was in fact bound for this transaction. The locked-box draft's own insurance provisions therefore have no live analogue anywhere in the transaction as consummated, and a reviewer should not assume that any insurance-

backed protection exists for a warranty claim under the executed agreement merely because an earlier draft of a different agreement for this same target contemplated one.

This is a further, independent reason the two documents cannot be read together as complementary parts of one integrated risk-allocation package: the locked-box draft's insurance-backed indemnity and the executed agreement's caps-and-baskets indemnity are mutually exclusive architectures for the same underlying risk, and only one of them - the executed agreement's own architecture - has any operative effect on this transaction. A reviewer building a model of the Buyer's post-Closing recourse for a warranty breach should use the executed agreement's caps and baskets exclusively and should disregard the locked-box draft's own insurance provisions in their entirety for that purpose.

Deal counsel's own file note from the point the parties moved away from the locked-box structure records that the decision to forgo warranty-and-indemnity insurance in favor of a conventional caps-and-baskets indemnity was a deliberate choice made once the parties had already decided to move to a completion-accounts pricing mechanism, rather than an incidental consequence of that pricing decision. The two changes - pricing mechanism and indemnification architecture - were negotiated together but are conceptually independent, and a reviewer should not infer that adopting completion accounts required abandoning warranty-and-indemnity insurance, or vice versa, in a different transaction.

15. Lessons for Future Transactions

Deal counsel's own internal debrief on this transaction, prepared for the firm's own knowledge-management purposes and not for the deal file itself, draws two lessons worth recording here because they inform how the deal team read the locked-box draft during this negotiation and may usefully inform how a future deal team reads a comparable draft in a different transaction.

First, a locked-box structure is best suited to a target whose balance sheet a buyer can, from its own diligence, credibly predict will not move materially between the locked-box date and Closing. Where that prediction cannot be made with confidence - as turned out to be the case here, once the target's working-capital seasonality was properly diligenced - a completion-accounts structure is the more defensible choice even though it costs more in negotiation time and post-Closing administration. The locked-box draft's own drafting quality was never the issue; the issue was always whether a locked-box structure was the right tool for this particular target.

Second, a deal team that begins drafting on one purchase-price mechanism and later moves to the other should expect the earlier draft to remain in the data room, and should proactively memorialize which mechanism governs rather than relying on a later reviewer to infer it correctly from numbering conventions and defined-term style alone. This memo is exactly that proactive memorialization, and its existence should not be read as suggesting that the numbering-convention tell described in Section 7 above is somehow an unreliable signal - it is a reliable signal, and this memo exists as a second, independent confirmation of what that signal already shows, not as a substitute for reading the numbering convention correctly in the first place.

The debrief's third and final observation, added at the request of the firm's own training committee, is procedural rather than substantive: a junior associate reviewing a data room for the first time should be told explicitly, before beginning any pricing analysis, that more than one purchase-price mechanism may have been drafted during the negotiation of a single transaction, and that identifying the GOVERNING mechanism is itself the first analytical task, prior to and separate from applying that mechanism's own arithmetic. Treating mechanism-identification as an afterthought, to be resolved only if a number looks wrong, is exactly the failure mode this memo exists to prevent.

16. Cross-Reference Index for This Memo

For ease of navigation, the numbered-Clause locked-box draft's own defined terms and clause references discussed in this memo are, in every case, references to that draft's OWN internal numbering (its Clause 1 definitions, its Clause 3 Consideration provision, its Clause 6 Ticking Fee provision), never to the executed agreement's Article/Section numbering, and vice versa. Where this memo refers to a provision

of the executed agreement, it does so by that agreement's own Article and Section numbering (its Article II Purchase and Sale, Purchase Price provisions, and its Article XI Miscellaneous provisions including its entire-agreement clause). A reviewer who finds a clause number in this memo unfamiliar should first check whether the number belongs to the locked-box draft's own Clause series or to the executed agreement's own Article/Section series before concluding the reference is in error.

This memo does not itself attempt to reconcile every individual defined term across the two documents on a term-by-term basis - that reconciliation is unnecessary once the governing mechanism is correctly identified, because a term defined only in the superseded locked-box draft (Leakage, Permitted Leakage, Locked Box Date, Locked Box Accounts, Ticking Fee) has, by definition, no operative meaning under the executed agreement, and a term defined only in the executed agreement (Closing Working Capital, Target Working Capital, the working-capital collar, the independent accountant procedure) has, by definition, no analogue in the superseded locked-box draft. The absence of a one-to-one mapping between the two documents' defined terms is not an oversight in either document; it is the direct consequence of the two documents using genuinely different pricing mechanisms, which is the entire subject of this memo.